

2019 Full Year Results



BRITISH AMERICAN
TOBACCO
KENYA

A SUSTAINED PERFORMANCE IN A CHALLENGING REGULATORY ENVIRONMENT

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DISCLAIMER

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OUR STRATEGY

to deliver the quadruple win

» **For Consumers**

» **For Shareholders**

» **For Society**

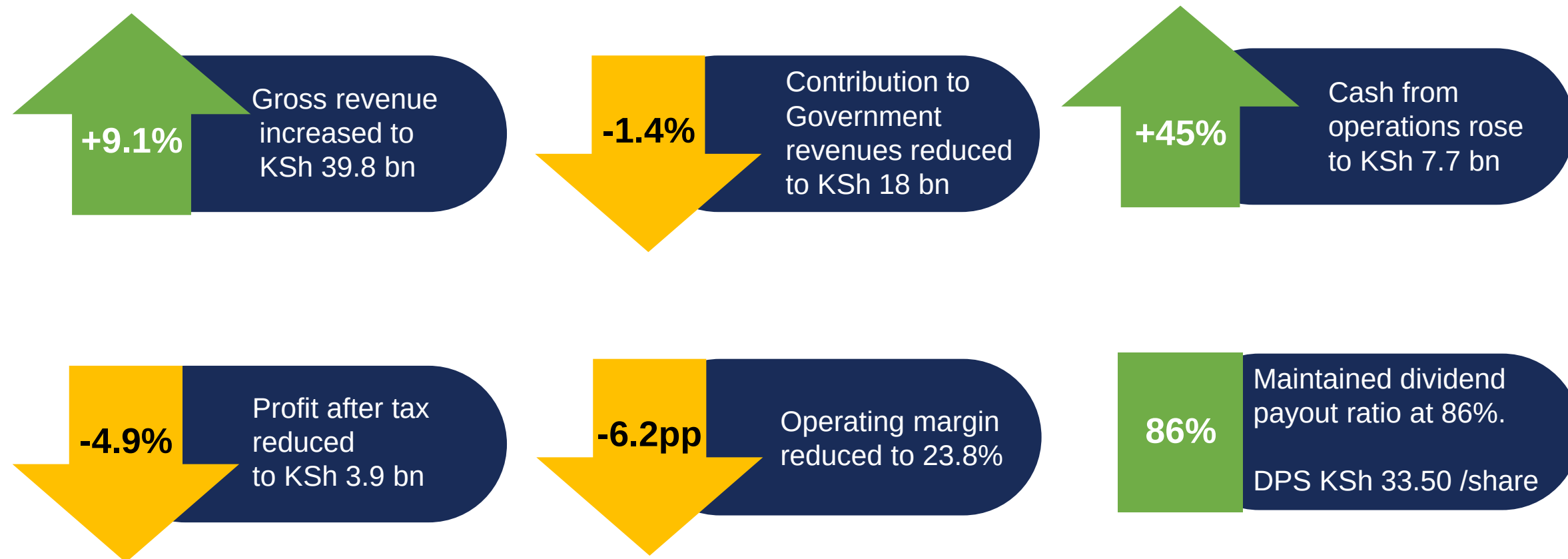
» **For Employees**



2019 FULL YEAR PERFORMANCE

2019 FULL YEAR PERFORMANCE SUMMARY*

Value growth in a challenging regulatory environment



*vs SPLY 2018

NOTABLE SUCCESSES IN 2019

NEW NICOTINE CATEGORY

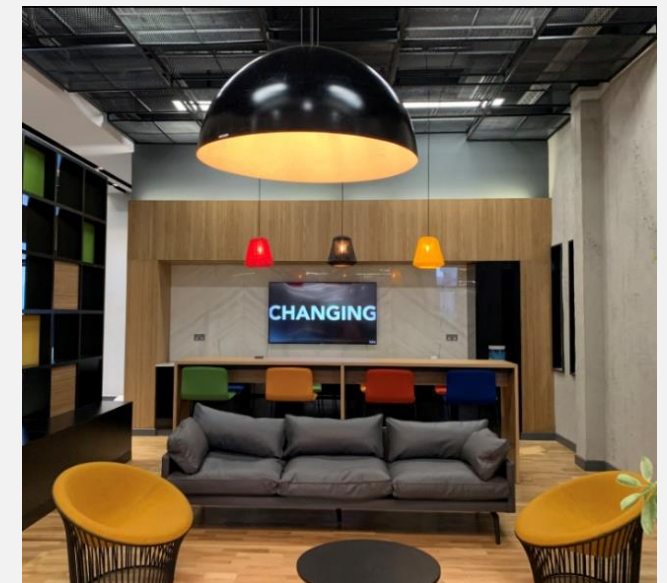


First in Africa

PORTFOLIO TRANSFORMATION



GREAT PLACE TO WORK



EXTERNAL RECOGNITION & CELEBRATION IN 2019



Best Company in

- Electricity savings
- Water savings
- Sustained high performance

ERC Energy
Compliance Certified



Lifetime Achievement Award –
Solid Rock Commendation



50 years in the NSE



DOMESTIC MARKET

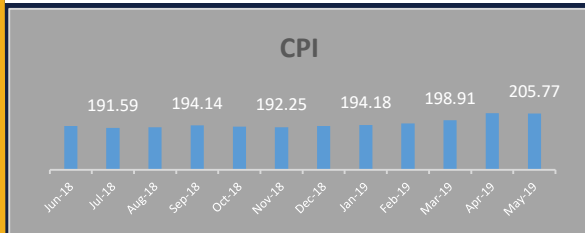
The macro environment remains challenging

1

Increasing business & consumer pressure

Budget 2019: Alcohol, cigarettes, betting hit hard as 'sin tax' comes into effect

By Wangui Ngechu For Citizen Digital
Published on: June 13, 2019 18:15 (EAT)



- › 20% discriminatory excise hike to further impact affordability
- › Solatium contributory levy

2

Legal/Regulatory overreach



- › Proliferation of county regulations

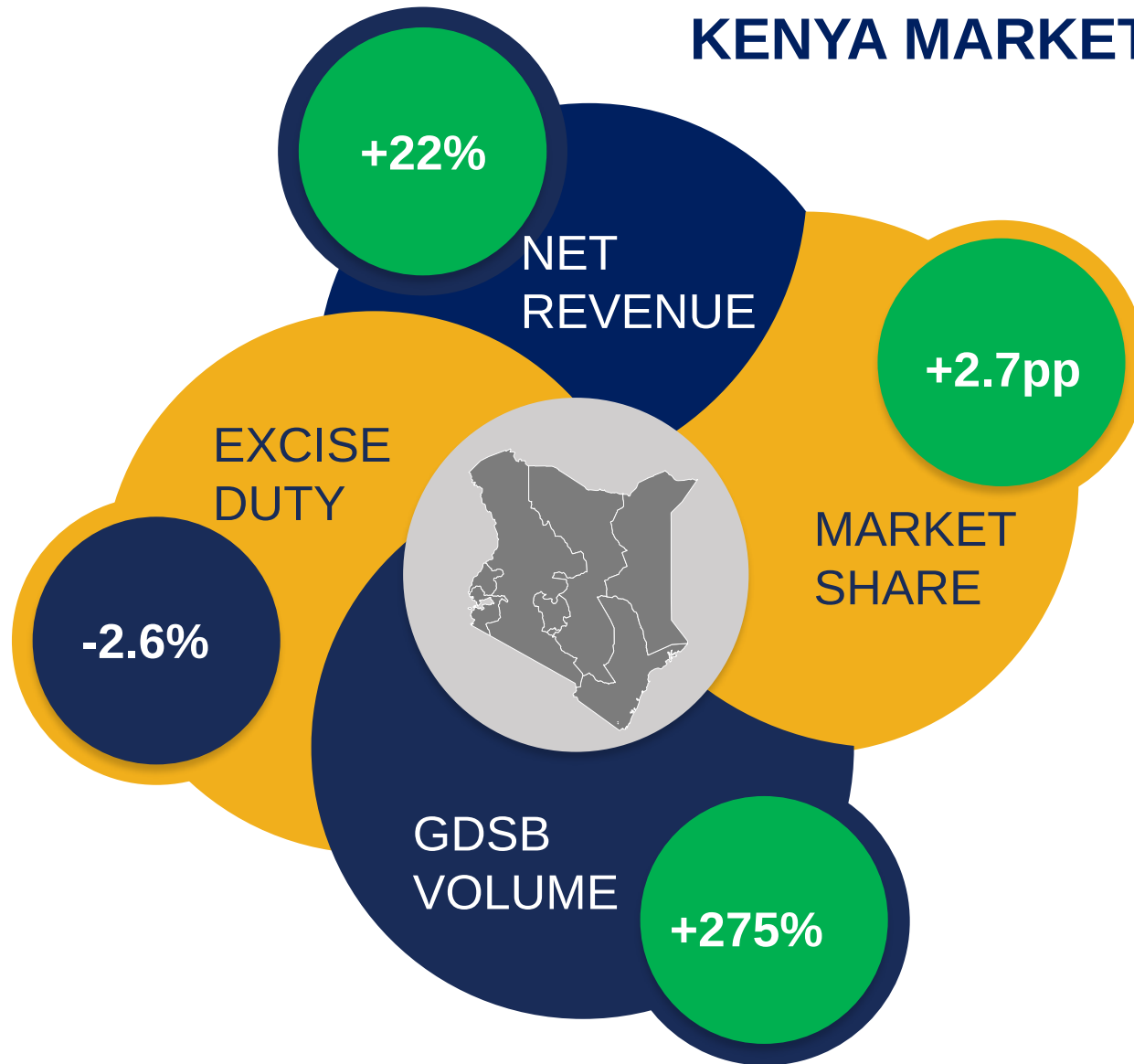
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Illicit continues to be a concern



- › High incidence of illicit trade of 11.3%
- › KSh2.5 bn loss to the Gov't p.a.

KENYA MARKET PERFORMANCE



Positioning our portfolio to continue winning



EXPORTS MARKET

Driving value growth amidst regional complexities

Infrastructure development driven economic growth



Concern over money not flowing to common man despite GDP growth

Consumer affordability Challenges in DRC



Non-Tariff barriers still in place

A common market spanning half of Africa

A step towards a continental free trade area

Tripartite Free Trade Area
Links 3 regional blocs

- COMESA Common Market of East and Southern Africa
- SADC South African Development Community
- EAC East African Community

Intra-regional trade as a share of the region's total exports (2007-2011)

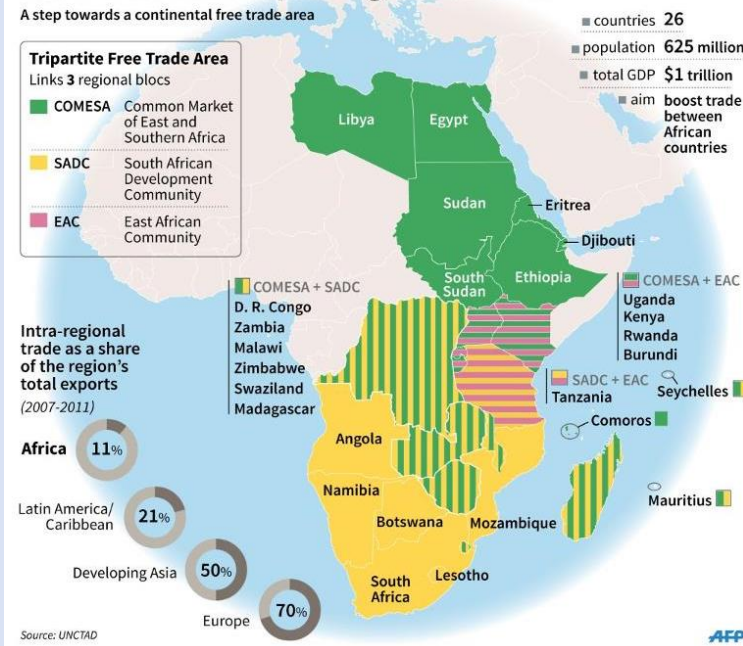
Africa 11%

Latin America/Caribbean 21%

Developing Asia 50%

Europe 70%

Source: UNCTAD



Insecurity



Extreme weather



THE KENYA MANUFACTURING HUB CONTINUES TO DELIVER

10

Markets
supplied with
Cigs

Volume
(Exports)

**9.2 bn
sticks**

(+1% vs SPLY)

Share of
factory output

68%

(+3pp vs SPLY)

Value (Cig
Exports)

\$85 mn

(+1% vs SPLY)



LEAF & CUT RAG TOBACCO

Export CRT
value

\$23.6 mn
(+55% vs SPLY)

Export CRT
volume

3,990
metric tons
(+41% vs SPLY)

Annual volume of
leaf grown

8.9 mn
Kgs
(Flat vs SPLY)

Annual Payments
to farmers

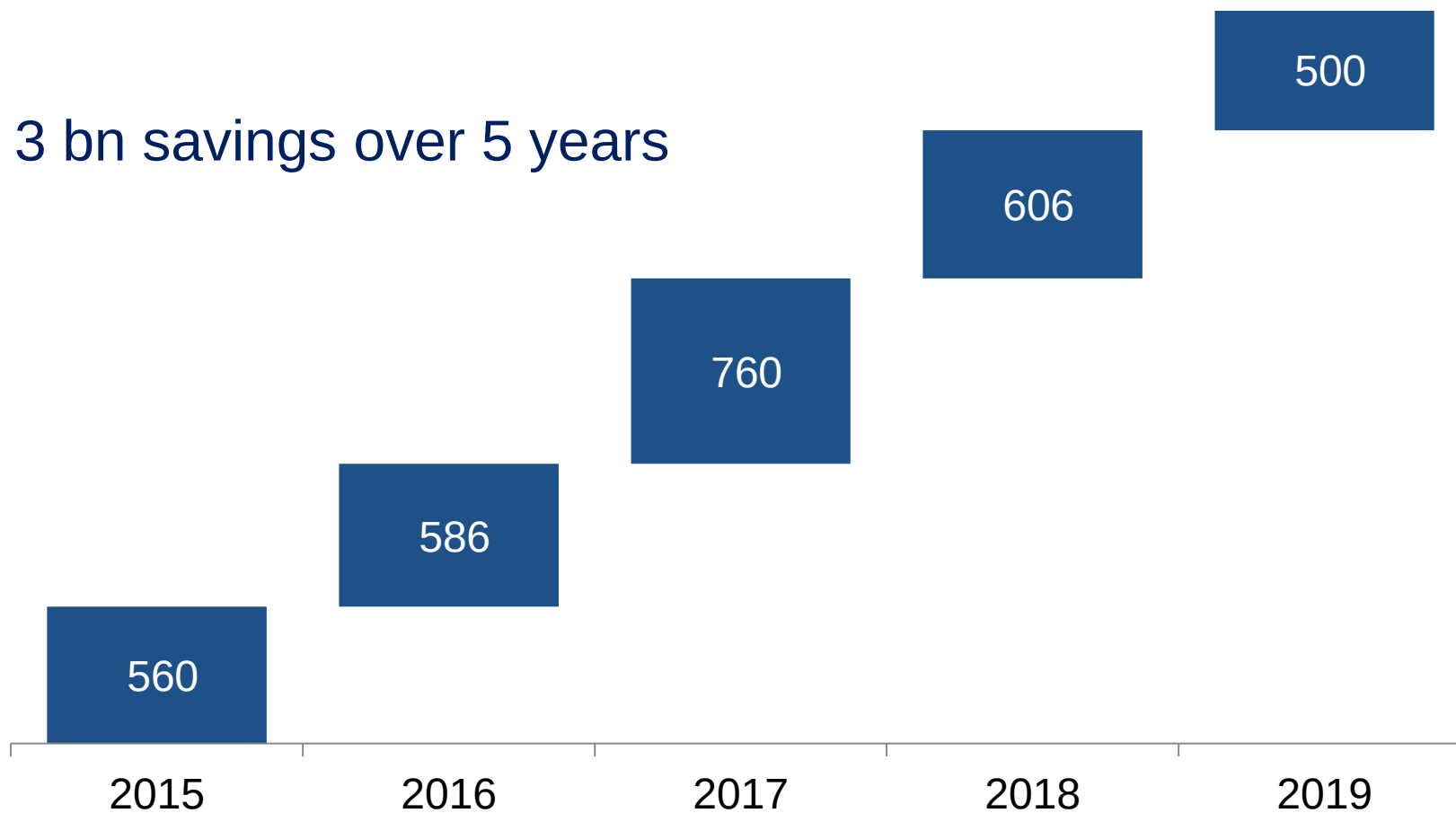
KSh
1.5 bn
(Flat vs SPLY)



PRODUCTIVITY SAVINGS

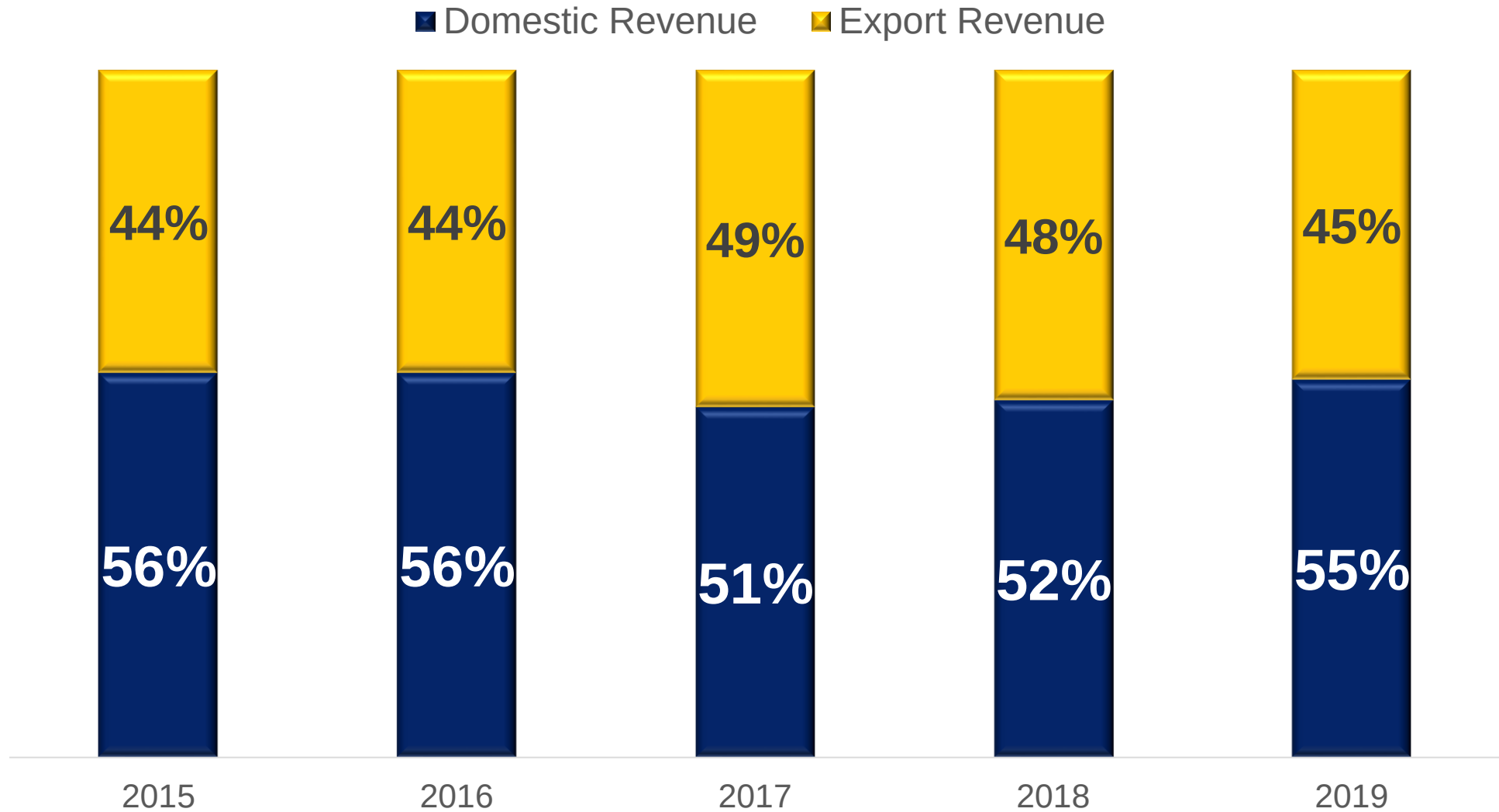
Re-invested in the business and offset against inflationary increases

KSh 3 bn savings over 5 years



2020 Target
Savings:
**KSh
530 mn**

BALANCED REVENUE STREAMS



2020 KEY FOCUS AREAS

FOCUS AREAS IN 2020

PORTFOLIO TRANSFORMATION

NEW NICOTINE CATEGORY

ANTI ILLICIT TRADE

REGULATORY ENVIRONMENT

THANK YOU

QUESTIONS?



BRITISH AMERICAN
TOBACCO
KENYA

